

Major changes in common size ratios of major line items

When we see sudden changes, from 3% to 16%, we need to understand the reason behind them from the management. If we do not get proper business-related justification, it may be grounds for improper reporting. Even if it is a positive change, you must consider it a red flag. Sudden changes are almost never a good news. However, we need to be careful it may have a business reason behind it and we will need to identify the same.

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